

Multiple Choice (10 marks)

1. Which of the following events has no effect on GDP?
 - (a) A college buys computers.
 - (b) The Department of Transportation repaves a road.
 - (c) A city spends money to refurbish a public park.
 - (d) You buy a 1957 Chevy from a friend.
2. A monopsonist is identified by one of the following:
 - (a) A wage payment lower than the average revenue product of labor.
 - (b) Employment level lower than that of a competitive labor market.
 - (c) A single buyer of labor services.
 - (d) Employment level greater than that of a competitive labor market.
 - (e) A wage payment lower than the marginal revenue product of labor.
3. What is the immediate effect on the money supply if Bank A re-ceives a deposit of 1000 *incurrency from Mr. X and grants a loan of* 500 to Mr. Y?
 - (a) add \$1000 to the money supply
 - (b) add \$ 500 to the money supply
 - (c) no change in the money supply
 - (d) reduce \$1000 from the money supply
4. Households demand more money as an asset when
 - (a) the demand for goods and services decreases.
 - (b) the stock market crashes.
 - (c) bond prices fall.
 - (d) the nominal interest rate falls.
 - (e) the unemployment rate rises.
5. The government decides to levy a lump-sum tax which will reduce disposable income by \$50 billion. If the $MPS = 0.25$, what effect will this have on NNP?
 - (a) \$50 billion
 - (b) \$87.5 billion
 - (c) \$100 billion
 - (d) \$37.5 billion
 - (e) \$200 billion

True / False (10 marks)

Answer True or False

6. True or False: The correct answer to 'What are the dimensions of $\hat{u}^t \hat{u}^s$ ' is $k \times k$.
6. True or False: Expansionary fiscal policy results in more crowding out when the central bank implements a contractionary monetary policy.
7. True or False: A minimum wage in the market for fast-food workers will likely lead to an increase in the prices of fast-food items.
8. True or False: A value-added tax is a tax imposed exclusively on luxury items at the point of sale.
9. True or False: Lenin's contributions to Marxist economic theory primarily centered on the abolition of capitalism through gradual reform.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze the impact on the money supply when the FED increases banking system reserves by 500,000, *considering are required reserveratio of 30*
11. Discuss how higher interest rates can mitigate the effectiveness of expansionary fiscal policy, particularly in relation to private investment decisions.

End of Paper